

CHAPTER 1

Multinational Financial Management

Opportunities & Challenges

Key Topics



Multinational Enterprise



Financial Globalization & Risk



The Global Financial Marketplace



Theory of Comparative Advantage



The Globalization Process

By the End of This Chapter, You Will Be Able To...

01

Understand Multinational Enterprise

Define Multinational Enterprises and their characteristics

02

Understand Financial Globalization Risks

Analyse the complexity of risks that arise when businesses cross borders — currency, political, and systemic.

03

Explain Global Capital Markets

Describe how global capital markets enable the exchange of goods, services, and capital across nations.

04

Apply Comparative Advantage Theory

Use comparative advantage to justify why international trade and commerce exist and who benefits.

05

Identify Market Imperfections

Explain which market imperfections create opportunities for multinational enterprises (MNEs).

06

Trace the Globalization Process

Follow how a domestic firm evolves stage-by-stage into a truly global enterprise.

What Is a Multinational Enterprise?

Definition

An MNE has operating branches, subsidiaries, or affiliates located in foreign countries — it operates across multiple national borders.

 **Today's MNEs are heavily dependent on emerging markets for growth**

Real-World Insight: Even a global giant like P&G (180+ countries) can be blindsided by currency risk — a core challenge this course addresses.

Financial Globalization & Risk

Exchange Rate Volatility

Mix of floating & fixed rates; China now a dominant player shaping global FX movements.

Fiscal Policy Pressure

Large government deficits complicate monetary policy and destabilize financial planning.

Balance of Payments Gaps

Persistent imbalances between countries shift the exchange rate landscape unpredictably.

Changing Business Models

Dominant form is shifting from publicly-traded firms to privately-owned structures.

Shrinking Capital Markets

Global capital markets are consolidating, reducing liquidity options for some firms.

Capital Flow Complexity

Massive inflows/outflows through industrial & emerging markets complicate treasury management.

Three Pillars of Global Capital Markets



ASSETS

Debt Securities

Governments issue debt securities (e.g. US Treasury Bonds). These form the baseline — the "risk-free" rate — against which all other financing is measured.

💡 *Example: A 10-year US T-Bond yields 4.5%. A corporate bond then prices at T + spread.*



INSTITUTIONS

Banks & Central Banks

Central banks, commercial banks, and investment banks keep the system healthy and liquid. Their solvency is critical to global stability.

💡 *Example: 2008 Crisis — Lehman's collapse froze global credit markets overnight.*



LINKAGES

Interbank Networks

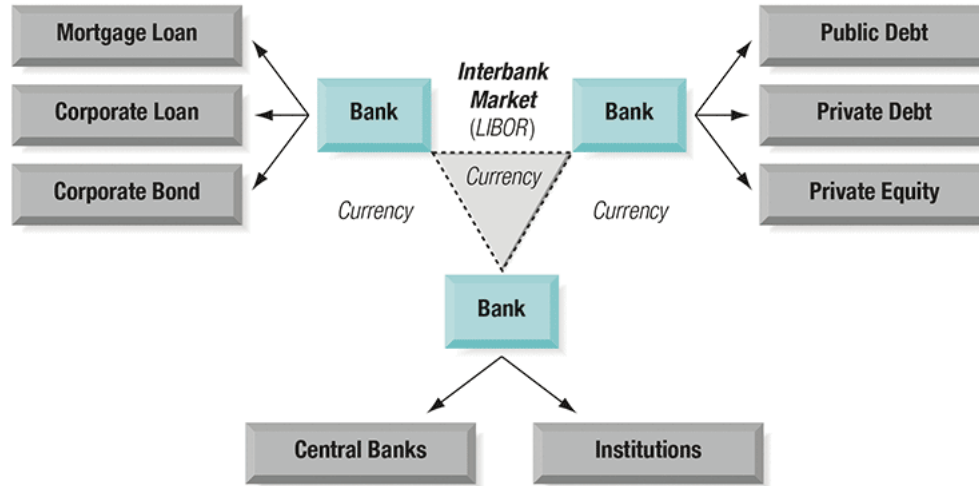
Interbank currency networks allow ready exchange between currencies. Without these linkages, the global market cannot operate efficiently.

💡 *Example: SWIFT network processes \$5 trillion+ in daily FX transactions.*

Exhibit 1.1 Global Capital

Markets

The global capital market is a collection of institutions (central banks, commercial banks, investment banks, not-for-profit financial institutions like the IMF and World Bank) and securities (bonds, mortgages, derivatives, loans, etc.), which are all linked via a global network—the *Interbank Market*. This interbank market, in which securities of all kinds are traded, is the critical pipeline system for the movement of capital.



The exchange of securities—the movement of capital in the global financial system—must all take place through a vehicle—currency. The exchange of currencies is itself the largest of the financial markets. The interbank market, which must *pass-through* and exchange securities using currencies, bases all of its pricing through the single most widely quoted interest rate in the world—LIBOR (the London Interbank Offered Rate).

Eurocurrencies

- **Eurodollars:** US Dollars held in a bank in London, Tokyo, or Singapore.
- **Euroyen:** Japanese Yen held in a bank in New York or London.
- **Euroeuros:** Euros held in a bank in New York or Hong Kong.

Eurocurrency = a domestic currency held on deposit in a bank outside its home country

Purpose 1 — Parking Excess Liquidity

- Big companies put their extra cash in offshore accounts to receive **higher interest rates**.
- Because foreign banks aren't subject to the same strict central bank rules, reserve limits, or interest rate caps as domestic banks. This gives them more flexibility to offer better rates.



Example: On **\$10 billion** of idle cash:
In New York at 1.0%: Apple earns **\$100 million** a year in interest.
In London at 1.5%: Apple earns **\$150 million** a year in interest.

Purpose 2 — Short-Term Corporate Loans

Global banks hold massive pools of various currencies, making it fast and easy for international businesses to borrow the exact currency they need for import/export deals.



Example: A Brazilian importer borrows USD in London at SOFR+1.5% to finance a US goods shipment.

LIBOR: London Interbank Offered Rate

When banks lend money to each other or to international companies, they need a standard "baseline" interest rate to start from, then add their profit margin on top.

- **LIBOR (London Interbank Offered Rate):** For decades, this was the standard baseline rate used globally for foreign loans and contracts.
 - **The Shift to SOFR (Secured Overnight Financing Rate):** After financial scandals revealed LIBOR was vulnerable to manipulation by traders, regulators phased it out. Today, global USD loans use **SOFR** as the trusted, risk-free baseline rate instead.
- but the concept of an interbank reference rate remains central.

Why Nations Trade With Each Other

Core Idea

Each country should specialize in goods it produces most efficiently, and trade for the rest. Total global output is maximized.

Classic Model Assumptions

- Free trade between nations
- Perfect competition in markets
- No uncertainty or information costs
- No government interference

Classic Example

 England vs  Portugal

Portugal can produce both cloth and wine more cheaply than England.

But Portugal is relatively MORE efficient at wine. England is relatively better at cloth.

Solution: Portugal specializes in wine, England in cloth, and both trade.

✓ Both countries end up with more of both goods!

Comparative Advantage Illustrated

	WHEAT	POTATOES
CHINA	100 1 Wheat = 2 Potatoes 100 w = 200p	200 1p = 100/200 1 Potato = 0.5 Wheat
INDIA	80 80 w = 100p 1 Wheat = 1.25 Potatoes 1 w = 100/80	100 1 Potato = 0.8 Wheat 1 p = 80/100

China has the absolute advantage in producing both wheat and potatoes

- India has the comparative advantage in producing wheat.
- China has the comparative advantage in producing potatoes.

How the Mechanism Works

1

Specialization

Country A firms produce goods that use their abundant factors of production (land, labor, capital, technology) most efficiently.

2

Factors Stay Home

Factors of production cannot move freely between A and B, so the gains from specialization must be realized through trade.

3

Trade Occurs

Goods flow between countries. Terms of trade (the ratio of exchange) are set by supply and demand in competitive markets.

4

Both Benefit

Neither country is worse off. Both typically gain, though the division of gains depends on terms of trade.

Bottom line: International trade driven by comparative advantage increases total world welfare even when one country is absolutely better at everything.

Why the Classic Theory Has Limits Today

Government Intervention

Countries use tariffs, subsidies, and industrial policy to protect strategic sectors — not pure specialization.

e.g. US CHIPS Act subsidies for semiconductor manufacturing.

Mobile Capital & Tech

Capital and technology now flow easily across borders — a core assumption of the model no longer holds.

e.g. TSMC builds fabs in Arizona; factories move to Vietnam overnight.

Imperfect Competition

Many markets are dominated by a few firms (oligopoly) — not the perfectly competitive markets the model assumes.

e.g. Airbus vs. Boeing — state aid distorts "natural" specialization.

Shifting Advantage

Comparative advantage is dynamic. As countries develop, their relative strengths change over time.

e.g. South Korea shifted from cheap labor to high-tech over 40 years.

Uncertainty & Info Costs

The model ignores risks and costs of acquiring information — both very real in international trade.

e.g. Supply chain disruptions during COVID-19 exposed hidden costs.

21st-Century Reality

Modern advantage is increasingly based on services (IT, finance, consulting) enabled by internet & telecoms.

e.g. India's IT outsourcing sector — services not "factors" drive advantage.

What Is Different About International Financial Management?



Culture & History

Business practices, legal systems, and governance norms vary widely across countries, affecting decisions & negotiations.



Corporate Governance

Shareholder rights, board structures, and disclosure requirements differ — affecting agency costs and firm value.



Foreign Exchange Risk

All cross-border transactions expose firms to currency fluctuations that have no equivalent in domestic finance.



Political Risk

Expropriation, regulatory change, capital controls, and war can wipe out foreign investments — unique to MNEs.



Modified Financial Theory

Classic models (CAPM, NPV) must be adapted for multiple currencies, tax regimes, and political environments.



Specialized Instruments

FX forwards, currency swaps, political risk insurance — tools with no domestic equivalent become essential.

Market Imperfections: Why MNEs Thrive

The Case for Going Multinational

MNEs exploit imperfections in national markets that local firms cannot leverage. Wherever markets for products, factors, or financial assets are imperfect, profit opportunities exist for those with scale and reach.

✓ **Economies of Scale** Spread fixed costs across global volumes

✓ **Tech & Know-How** Leverage proprietary processes globally

✓ **Product Differentiation** Global brand commands premium pricing

✓ **Financial Strength** Access cheaper capital in multiple markets

5 Strategic Motives for FDI



Market Seekers Access new customers in fast-growing economies (e.g. McDonald's expanding in Asia)



Raw Material Seekers Secure natural resources at source (e.g. Rio Tinto in Australia, Africa)



Production Efficiency Seekers Reduce costs via cheaper labor or better infrastructure (e.g. Apple in China)



Knowledge Seekers Acquire technology, talent, or expertise (e.g. Google acquires EU AI labs)



Political Safety Seekers Hedge against instability at home (e.g. relocating HQ pre-Brexit)

** These motives are not mutually exclusive — an MNE can pursue several simultaneously.*

How a Domestic Firm Becomes a Global Enterprise

Case Study: Ganado Corporation (Illustrative US Firm)

STAGE 1

Domestic Focus → International Trade

- Purely domestic sales & operations
- Imports raw materials / components
- Begins exporting via distributors
- Finance: domestic bank, USD only

💡 *Ganado sells locally but imports electronics from Japan; begins exporting to Canada.*

STAGE 2

International Trade → Multinational Phase

- Sets up foreign sales offices
- Licenses products internationally
- Makes first foreign direct investment
- Finance: multi-currency, FX exposure grows

💡 *Ganado opens a European subsidiary, takes on €/\$ exposure, needs FX risk management.*

STAGE 3

Multinational → Global Integration

- Production & R&D in multiple countries
- Global supply chain optimization
- Listed on foreign stock exchanges
- Finance: global capital structure, WACC across currencies

💡 *Ganado manufactures in Mexico, R&D in Germany, lists on NYSE + London Stock Exchange.*

What Limits the Globalization Process?

Growth can be constrained by two "twin agency problems" that act as brakes on financial globalization:



Agency Problem 1 Corporate Insiders vs. Outside Shareholders

Managers (insiders) may pursue empire-building, high salaries, or entrenchment rather than maximizing shareholder value. This misalignment worsens as the firm grows globally — owners are further from operations.

Consequence: The cost of monitoring managers rises. Investors demand higher returns (or hold back capital) from firms in weak governance environments.



Example: Enron — management hid liabilities in offshore entities, destroying shareholder value while insiders profited.



Agency Problem 2 Sovereign States vs. Foreign MNEs

Host governments may expropriate assets, impose capital controls, change tax regimes, or force technology transfer — prioritizing national interests over MNE profitability.

Consequence: Political risk raises the hurdle rate for foreign investment. MNEs under-invest in high-risk jurisdictions even when economic returns would otherwise be attractive.



Example: Venezuela nationalized ExxonMobil's oil assets in 2007, forcing a \$10B+ write-down.

Key Takeaways

1

MNEs face unique risks

Currency, political, and governance risks have no domestic equivalent — they require specialized tools.

2

Global capital markets have 3 pillars

Assets, Institutions, and Linkages must all function for global finance to work efficiently.

3

Comparative advantage still matters

But the 21st-century version is driven by services, technology, and telecoms — not just land and labour.

4

Imperfections create MNE opportunities

Market seekers, resource seekers, efficiency seekers — firms go global to exploit these gaps.

5

Globalization is a staged journey

Domestic → Trade → Multinational → Global Integration — each stage adds financial complexity.

6

Agency problems set limits

Corporate insiders and sovereign governments can both constrain global financial integration.